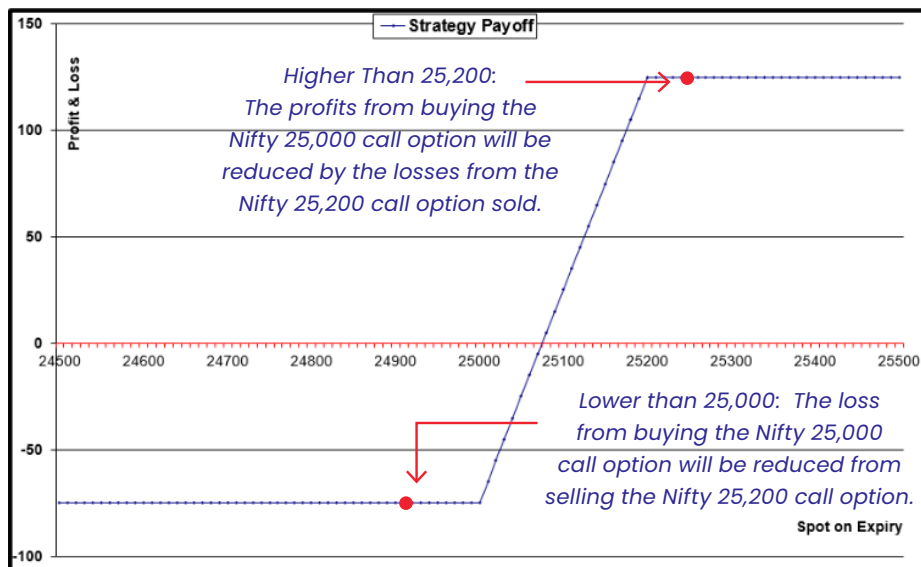


The pay-off from the strategy can be visualised as follows:



4.1.2 Bull call ratio spread

In a bull call ratio spread, we buy one call and sell two calls. It lowers our premium even further. This strategy also has a lower premium than a bull call spread. **Typically, we apply this strategy when we expect the market to move upwards, but only slightly.**

If the market moves up significantly, our risk could be unlimited. This strategy also has a lower maximum profit than the bull call spread.

Buy

One ATM/ slightly OTM Call Option



Less Premium Paid

Sell

Two far OTM Call Options



Two Premiums Received

Loss of premium is less but risk is limitless

So, this strategy is appropriate for a risk-taking trader in a market that is not very volatile.